

New multi-State dairy federation holds promise

The Sardar Patel Cooperative Dairy Federation, launched recently by Minister for Home and Cooperation Amit Shah as a multi-State cooperative society, **can** lift the **fortunes** of lakhs of small dairy farmers, and localised dairy federations — provided it **gets its act together**.

The Gujarat Cooperative Milk Marketing Federation (**needless to say**, the **flagbearer** of the Amul brand), will hold 20 per cent **stake**, with the majority 60 per cent stake being held by 10 milk unions of Gujarat, and State federations holding the remaining 20 per cent. The new entity can **lend** its brand and marketing **clout** to **remote** small federations **in particular**, which can **avail of** finance and better market access by **coming on board**. The cooperative can **infuse** technology and quality control expertise, raising **yields** and prices for milk producers. This would expand the **outreach** of the cooperative sector in a market where the unorganised sector still handles about 50 per cent of the marketable surplus, five **decades** or so after **Operation Flood**.

In the organised sector **space**, cooperatives and private dairy producers roughly share **the spoils**. It is interesting that milk cooperatives are not **dominant** in States which are large producers, such as Uttar Pradesh (16.2 per cent of total milk output in FY24 of 239 million tonnes), Rajasthan (14.5 per cent), Madhya Pradesh (8.9 per cent) and Maharashtra (6.7 per cent). **Gujarat and Karnataka**, which are cooperative **successes**, **account for** 7.5 per cent and 5.6 per cent, respectively, of milk output nationally. This indicates the scope for expansion in other regions, enhancing choice and quality for producers and consumers in the eastern and northern States in particular. Dairy cooperatives are a lifeline to small producers. **Aggregation** of their produce **will** serve local markets where organised sector supply is short. The new cooperative should focus on **untapped catchment** areas and markets, **as opposed to** regions where mature private players and State federations exist.

However, there is no getting away from the **impression** that the new multi-State cooperative society is essentially controlled by GCMMF. The State federations could have been offered a 50 per cent **stake** for the cooperative to have a representative character as a multi-State entity. The new entity would depend considerably on GCMMF's funds and **expertise** — but for funds the National Cooperative Development Organisation and NABARD could have been **roped in**. The National Dairy Development Board too could have been involved. More broadly speaking, the **thrust** to promote large cooperatives **raises** questions about the future of farmer producer companies. FPOs/FPCs were **conceived** about two **decades** years ago to create an alternative to **mismanagement-ridden** cooperatives, largely arising out of government control. With FPOs too **coming under a cloud** these days ('consultants' **creaming away** funds), it is time to **take stock** on the role and space for two institutions. In either case, **overt** government control is not desirable.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

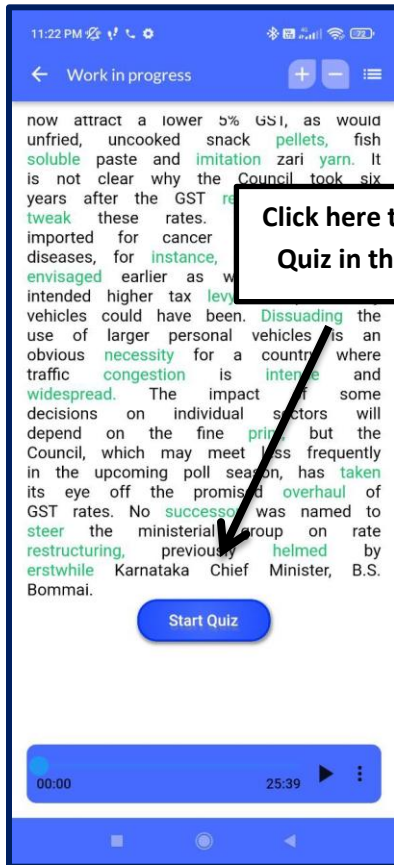
1. **Hold promise** (phrase) – show potential, seem hopeful, indicate success, appear promising, look fruitful आशाजनक प्रतीत होना
2. **Fortune** (noun) – success, prosperity, wealth, good luck, fate भाग्य / सफलता
3. **Get one's act together** (phrase) – organize oneself, become efficient, focus efforts, get serious, plan properly अपने कार्यों को व्यवस्थित करना
4. **Needless to say** (phrase) – obviously, clearly, of course, without doubt, it goes without saying ज़ाहिर है
5. **Flagbearer** (noun) – leader, representative, symbol, torchbearer, standard-bearer ध्वजवाहक / प्रतिनिधि
6. **Stake** (noun) – share, interest, investment, equity, claim हिस्सेदारी
7. **Lend** (verb) – give, provide, offer, contribute, extend देना / योगदान देना
8. **Clout** (noun) – influence, power, authority, dominance, sway प्रभाव
9. **Remote** (adjective) – distant, far-off, inaccessible, isolated, outlying दूरस्थ
10. **In particular** (phrase) – especially, specifically, notably, particularly विशेष रूप से
11. **Avail** (of) (verb) – use, utilize, make use of, benefit from, take advantage of लाभ उठाना
12. **Come on board** (phrase) – join, become a part of, associate, enroll, get involved जुड़ना / भाग लेना
13. **Infuse** (verb) – inject, instill, impart, introduce, blend डालना / भरना
14. **Yield** (noun) – output, production, return, result, harvest उत्पादन
15. **Outreach** (noun) – expansion, reach, spread, extension, access विस्तार / पहुँच
16. **Decade** (noun) – Period of ten years, दशक
17. **Operation Flood** (noun) – a rural development program in India that transformed the country from a milk-deficient nation to the world's largest milk producer ऑपरेशन फ्लड (दुग्ध क्रांति योजना)
18. **Space** (noun) – area, field, sector, domain, segment क्षेत्र
19. **Spoils** (noun) – benefits, profits, gains, rewards, proceeds लाभ / मुनाफ़ा
20. **Dominant** (adjective) – leading, prevailing, main, powerful, prominent प्रमुख / प्रभावशाली
21. **Successes** (noun) – achievements, victories, accomplishments, triumphs, wins सफलताएँ

22. **Account for** (phrasal verb) – constitute, represent, make up, comprise, contribute
to का हिस्सा होना
23. **Aggregation** (noun) – collection, gathering, accumulation, grouping, cluster संग्रह / एकत्रीकरण
24. **Untapped** (adjective) – unused, unexplored, unexploited, potential, hidden
अप्रयुक्त
25. **Catchment** (noun) – source area, supply zone, surrounding region, water-collection area स्रोत क्षेत्र
26. **As opposed to** (phrase) – rather than, instead of, unlike, in contrast to के विपरीत
27. **Impression** (noun) – feeling, perception, opinion, belief, view धारणा / प्रभाव
28. **Expertise** (noun) – skill, proficiency, competence, mastery, specialization विशेषज्ञता
29. **Rope in** (phrasal verb) – involve, include, enlist, engage, recruit शामिल करना
30. **Thrust** (noun) – emphasis, push, drive, focus, initiative जोर / प्रयास
31. **Conceive** (verb) – formulate, invent, devise, imagine, design सोचना / कल्पना करना
32. **Mismanagement-ridden** (adjective) – poorly governed, disorganized, inefficient, chaotic, troubled कुप्रबंधन से ग्रसित
33. **Come under a cloud** (phrase) – be suspected, face doubt, lose reputation, be questioned संदेह के घेरे में आना
34. **Cream away** (phrasal verb) – siphon off, misappropriate, divert dishonestly, exploit funds धन निकालना / गबन करना
35. **Take stock** (phrase) – assess, review, evaluate, analyze, examine मूल्यांकन करना
36. **Overt** (adjective) – open, obvious, transparent, apparent, public खुला / स्पष्ट

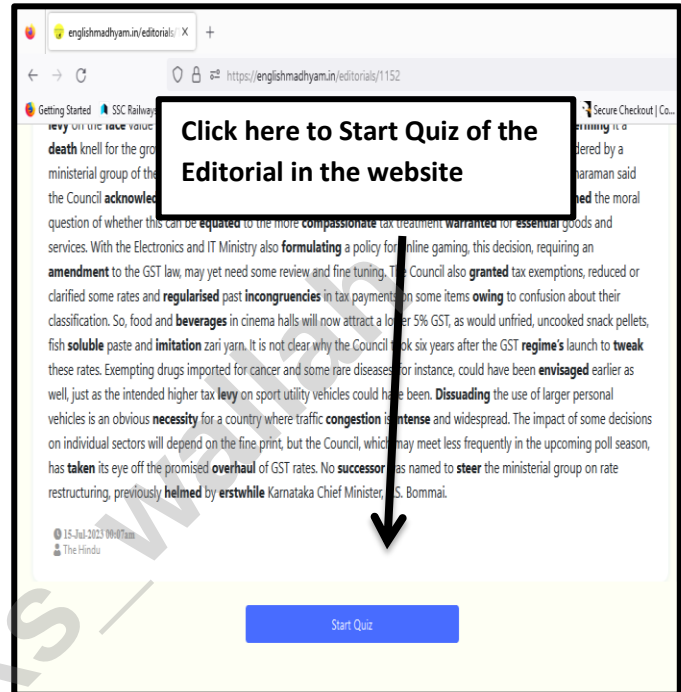
Summary of the Editorial

1. **Launch:** The Sardar Patel Cooperative Dairy Federation has been launched as a multi-State cooperative by Amit Shah.
2. **Goal:** It aims to benefit lakhs of small dairy farmers and boost localised dairy federations if properly managed.
3. **Ownership Structure:** The federation has a 60% stake by Gujarat's 10 milk unions, 20% by GCMMF (Amul), and the remaining 20% by State federations.
4. **Brand & Marketing Leverage:** The new federation will use the Amul brand's reach and marketing strength to support small and remote federations.
5. **Financial & Market Access:** Smaller cooperatives joining the federation can access finance, technology, and markets more efficiently.
6. **Technology Integration:** The federation plans to introduce quality control and tech interventions, increasing productivity and income for producers.
7. **Unorganised Sector Challenge:** Despite Operation Flood, 50% of milk surplus is still handled by the unorganised sector.
8. **Current Market Share:** The organised dairy sector is currently shared between cooperatives and private players.
9. **Regional Disparity:** Major milk-producing States like UP, Rajasthan, MP, and Maharashtra lack strong cooperative networks, unlike Gujarat and Karnataka.
10. **Expansion Potential:** The new federation can expand cooperative success into eastern and northern India, improving supply and choice.
11. **Support to Small Producers:** Dairy cooperatives act as a lifeline for small farmers, helping them aggregate and sell locally.
12. **Focus Area:** The federation should target untapped areas, not those already dominated by private firms or State cooperatives.
13. **Power Imbalance Concern:** There is concern that GCMMF holds excessive control, reducing the multi-State body's representative nature.
14. **Alternative Funding Ignored:** Agencies like NABARD, NCDC, and NDDB could have been better integrated for funding and support.
15. **Institutional Clash:** The rise of big cooperatives raises questions about the future of Farmer Producer Companies (FPOs/FPCs) and the need to limit government overreach in both models.

Practice Exercise: Banking Pattern Based



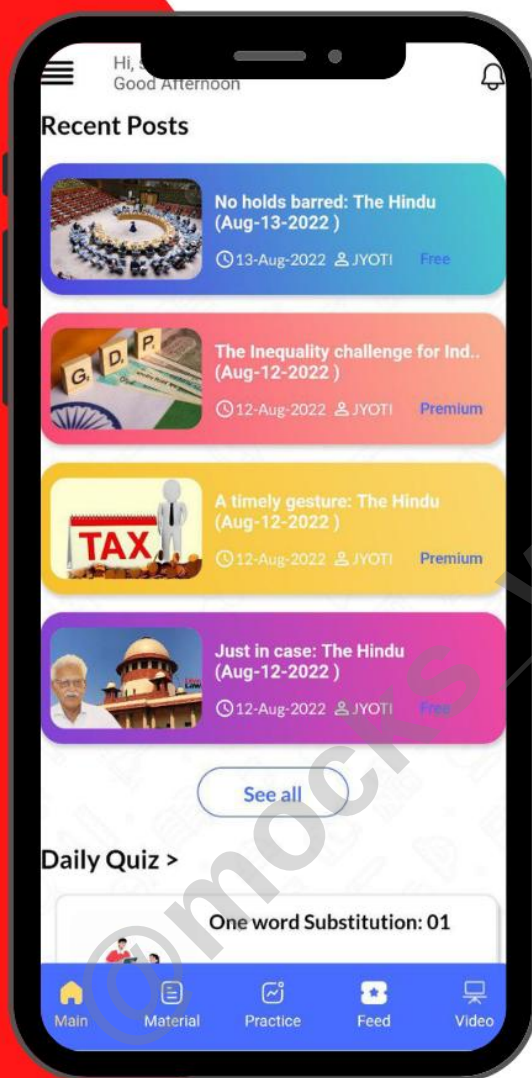
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